Project 1 — Edition A Valuation Baseline

Decision and intended user

As of September 1, 2026, I recommend that a long-term growth investor defer initiating a position in Palantir Technologies Inc. (NASDAQ: PLTR), because its exceptional revenue growth, profitability, and debt-free balance sheet support a strong business outlook, but its high forward valuation leaves too little margin of safety if growth slows.

Initial thesis: Watch/defer.

Intended user: A long-term growth investor considering whether to initiate a position in PLTR.

Company and valuation date

- Company: Palantir Technologies Inc.
- Ticker: PLTR
- Valuation date: September 1, 2026
- Primary filing: Form 10-Q for the quarterly period ended June 30, 2026
- Accession number: 0001321655-26-000041
- Filing date: August 4, 2026
- Filing locator: https://www.sec.gov/Archives/edgar/data/1321655/000132165526000041/pltr-20260630.htm

Known evidence

Unless otherwise noted, financial-statement figures below are in thousands of U.S. dollars, except per-share data, and come from Palantir's Form 10-Q for the quarter ended June 30, 2026.

- Cash and cash equivalents were $2,030.047 million as of June 30, 2026.
- Marketable securities were $7,379.052 million as of June 30, 2026.
- Cash plus marketable securities totaled $9,409.099 million. Whether all marketable securities count as excess cash is a consequential bridge assumption.
- Palantir had no outstanding debt under its $500 million revolving credit facility as of June 30, 2026.
- Revenue was $1,935.464 million for the three months ended June 30, 2026, up 93% from $1,003.697 million in the comparable 2025 quarter.
- Government revenue was $990.032 million, up 79% year over year.
- Commercial revenue was $945.432 million, up 110% year over year.
- Net income attributable to common stockholders was $1,061.890 million for the quarter.
- Diluted earnings per share were $0.41 for the quarter.
- Weighted-average diluted shares were 2,568.694 million for the quarter and 2,569.826 million for the six-month period.
- The filing states that diluted EPS includes the dilutive effect of stock awards under the treasury-stock method. Three million potentially dilutive stock-award equivalents were excluded because they were antidilutive.

- As of July 27, 2026, Palantir reported 2,300,713,329 Class A shares, 101,340,151 Class B shares, and 1,005,000 Class F shares outstanding.

Consequential assumptions

- Palantir can sustain unusually high growth long enough to justify a premium valuation.
- Commercial adoption will remain a major growth engine alongside government demand.
- Recent profitability is durable rather than primarily the result of a temporary combination of exceptional growth, operating leverage, or other income.
- The diluted weighted-average share count is a better starting convention for per-share valuation than basic period-end shares because employee awards create meaningful dilution.
- Cash and marketable securities should be evaluated separately before deciding how much is excess and available in the enterprise-to-equity bridge.
- A long-term investor requires a margin of safety because even strong operating performance may not produce attractive returns when the entry multiple already assumes exceptional execution.

Unknowns

- Palantir's intrinsic value per diluted share under base, upside, and downside scenarios.

- The growth and margin assumptions currently embedded in the market price.
- A normalized tax rate and the durability of current profitability.
- The amount of stock-based compensation and future dilution over the explicit forecast period.
- How much cash and marketable securities Palantir needs for operations versus how much should be treated as excess cash.
- The durability of government and commercial growth as the revenue base becomes larger.
- Customer concentration, contract-renewal risk, and the conversion of remaining performance obligations into revenue.

Research plan

1. Build historical revenue, operating-margin, free-cash-flow, and diluted-share trends from Palantir's primary filings.
2. Separate government and commercial revenue and test different growth-decay assumptions for each segment.
3. Normalize taxes, stock-based compensation, capital expenditures, and working-capital requirements.
4. Construct base, upside, and downside discounted-cash-flow scenarios using explicit revenue growth, margin, reinvestment, discount-rate, and terminal-value assumptions.
5. Complete an enterprise-to-equity bridge that separately identifies debt, cash, marketable securities, and any other non-operating claims or assets.

6. Compare the resulting per-share values with the market price on the valuation date and perform sensitivity analysis.
7. Investigate the falsification question and revise the thesis only after documenting contradictory as well as supporting evidence.

Falsification question

Can Palantir maintain enough revenue growth to justify its high valuation?

This matters because a major slowdown would weaken the investment thesis even if Palantir remained profitable.

Dated correction and revision addendum

October 20, 2026 | Follows the five unchanged Edition A pages

The Edition B PDF uploaded with the first Project 1 submission incorrectly said Edition A's September 1, 2026 valuation date preceded publication of the June 30, 2026 Form 10-Q. The 10-Q was published August 4, 2026, so September 1 followed it. This revision corrects that date-order statement. The submitted PDF is preserved separately as Edition B.pdf.

The first uploaded Edition B used a watch/defer portfolio label. On October 20, Pierce explicitly adopted the current action **do not initiate at the October 5 reference close of $189.40**. The revised Edition B following this page uses that action. The valuation date and information cutoff remain October 5; the October 20 adoption date describes the human decision, not new market information.

Edition A has not been modified. Its SHA-256 is 24087f84b272baba2eb9c6a3cb83f495c47e5e48f5270e833dd3fe3a2f4ba2b1. The independent October 6 code snapshot remains preserved at commit 890b973. Later corrections and AI use are disclosed in the separate validation record.

Edition B - Research Evolution

Status: revised October 20, 2026, after Pierce adopted the do-not-initiate action. This is a post-checkpoint, AI-assisted research update. The official Edition A PDF remains unchanged. Edition A is preserved byte-for-byte at submission/Edition A.pdf (SHA-256: 24087f84b272baba2eb9c6a3cb83f495c47e5e48f5270e833dd3fe3a2f4ba2b1). This revision supersedes the submitted Edition B's watch/defer label and corrects its date-order error; it does not rewrite the original submission.

Edition A starting point

Edition A recorded a watch/defer position for a long-term growth investor: Palantir showed strong growth, profitability, and a debt-free balance sheet, but the valuation left insufficient margin of safety. It identified intrinsic value, market-implied growth and margins, taxes, stock-based compensation and dilution, excess cash, segment durability, customer concentration, and remaining performance obligation conversion as open questions.

Edition A states a September 1, 2026 valuation date and cites the June 30, 2026 Form 10-Q (published August 4, 2026). The current model uses an October 5, 2026 cutoff.

Correction, October 20, 2026: the Edition B PDF (submission/Edition B.pdf) said the September 1 valuation date "predates" the August 4 publication of the 10-Q. That was wrong: September 1 is after August 4, so Edition A's date and source are consistent. The PDF is preserved unchanged as submitted; this source text is corrected and the correction is logged in docs/decision-log.md.

How the analysis evolved

Earlier work applied growth directly to free cash flow and produced a historical estimate of $158.16 per share. A later integrated forecast linked operating drivers to financial statements and produced $34.53 per share. The October 6 independent snapshot produced $29.76 per share, with an approximate $16-$65 causal DCF range. These are different model specifications and historical stages, not Edition A price targets or values to average.

After code corrections, the current model has a $30.12 base value and a $16.66-$65.91 range per diluted economic share. The valuation cutoff is October 5, 2026, and the reference market price is $189.40. The current model's price-action conclusion is do not initiate at that price. Both the earlier integrated model and the current model reject an immediate purchase under their tested assumptions.

Evidence and model checks

The analysis now uses a linked operating forecast and FCFF valuation, with explicit source and period boundaries. It distinguishes balance-sheet cash from restricted cash, assesses marketable securities separately, treats compensation as an economic cost, considers customer prepayment funding, and checks forecast and terminal reinvestment consistency. The October 5 valuation cutoff is distinct from the change in method and evidence since Edition A.

Several AI-assisted interpretations were qualified through source and definition checks. Restricted cash is not automatically available to shareholders. Net operating loss tax assets are distinguished from pretax loss pools. Weighted-average EPS shares are distinguished from dated economic shares and awards. Comparative EPS corrections are disclosed rather than used to silently alter the baseline.

An earlier partner challenge questioned whether the growth sensitivity range was wider than the margin range. Equal-proportional tests show that margin has a larger spread in 2030 operating profit and free cash flow, while growth has a larger spread in value per share because it changes the terminal revenue base. The ranking depends on the output, tested range, and assumptions held fixed.

Adopted decision and reversal conditions

Pierce's adopted portfolio action: do not initiate at $189.40. This replaces Edition A's watch/defer label for the current decision. The name may still be monitored for reversal evidence, but monitoring does not imply a position or an unadopted strategy label. Pierce adopted the action on October 20; he has not thereby approved every forecast assumption.

Reopen the analysis if evidence changes the growth runway or the price-to-value relationship. Relevant evidence includes reported commercial and government conversion, receivable collection, economic margins after compensation, investment and hosting needs, tax utilization, and a price/runway combination supported by a rebuilt operating model. A longer profitable

growth runway or a sufficiently lower entry price could change the assessment; neither is an automatic purchase trigger.

Committee request: approve do not initiate at the October 5 reference price, and review the decision when the stated operating evidence or price conditions warrant a rebuilt analysis.

Scope and limits

This update does not change the official Edition A PDF or the October 6 independent snapshot. The model range is judgment-dependent, not a statistical confidence interval. Source verification remains incomplete for the beta estimate, selected market inputs, and breadth of the peer set. Taxes, terminal maturity, margins, and compensation/dilution remain material uncertainties. Internal software checks support reproducibility and arithmetic; they do not independently verify assumptions or make the investment decision.

A-to-B evidence map

The unchanged Edition A is the baseline; later code and valuation changes do not retroactively alter it.

Edition A position or question	Post-checkpoint evidence or method	Effect on current action
Watch/defer; insufficient margin of safety	Integrated FCFF base $30.12; low/high $16.66/$65.91 versus $189.40	Pierce adopted do not initiate; no position
Can growth support the price?	Revenue drivers, 0/5/10-year maturity fades and reverse DCF	Even high case with 10-year fade stays below price; longer runway requires new evidence
Cash, taxes and SBC dilution	Restricted cash excluded; cash rolled to cutoff; NOL sensitivity; existing awards counted in share bridge	Avoid overstating attributable equity or mixing accounting bases
What would reverse the view?	Reported segment growth, collections, margins, compensation, hosting needs and entry price	Rebuild analysis if sustained operating evidence or a lower price changes margin of safety

No-material-change statement

The immediate trade remains no position. The current do-not-initiate label states the action more directly than Edition A's watch/defer posture. The model's numerical values are post-checkpoint analyses, not values assigned to Edition A. Source and assumption limits remain in the decision memo and validation record.